

Northwind Logistics: A Crossroads in Last-Mile Delivery

MGT 540 — Strategic Leadership · Teaching Case

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Synopsis

Northwind Logistics is a regional package-delivery company facing a defining decision. Its CEO, Dana Reyes, must choose whether to commit roughly half the company's cash reserves to an automated sortation system, pursue a lighter-weight partnership model, or hold position and defend the core business. Each path satisfies one part of the leadership team and alienates another. The case asks students to weigh financial discipline, growth ambition, operational risk, and the human cost of change — and to recognize that the "right" answer depends on which stakeholder's frame you adopt.

Background

Northwind Logistics began eighteen years ago as a two-truck courier service in the Pacific Northwest. Today it employs 1,400 people across six distribution hubs and moves roughly 70,000 packages a day for regional retailers, hospital networks, and a growing list of e-commerce sellers who want next-day delivery without paying national-carrier prices.

Northwind's reputation was built on reliability. Its on-time delivery rate of 97.8 percent is the best in its region and the single number Dana Reyes cites most often. But the foundation of that reputation — a network of experienced drivers and hand-sorted distribution hubs — is also the source of its problem. Sorting is still done largely by hand. During the last holiday peak, three of the six hubs missed their cut-off times, on-time delivery dipped to 91 percent for two weeks, and two large retail clients quietly moved a portion of their volume to a national carrier.

Dana has called an offsite with the executive team to decide what to do before the next peak season.

The Financial Picture

The chief financial officer, Marcus Hale, distributed the following summary before the meeting (figures in millions of US dollars):

Measure	Two years ago	Last year	This year (projected)
Revenue	248	271	279

Gross margin	22%	21%	19%
Operating profit	18.6	16.3	12.1
Cash and equivalents	41	38	34
Long-term debt	22	27	27

Marcus's note attached to the table was blunt. "Revenue is still growing, but margin is sliding and operating profit has fallen by a third in two years. The cost of hand-sorting is rising faster than what we can charge. We are not in crisis, but we are heading toward one slowly, and our cash cushion is thinning."

The Three Options on the Table

Option A — Build the automated sortation system. A capital investment of approximately 18 million dollars, funded from cash reserves and a new debt tranche, to install automated sorting at the three highest-volume hubs over fourteen months. Projected to raise sorting throughput by 40 percent and cut sorting labor cost per package by half once fully operational. It would also eliminate roughly 220 sorting positions.

Option B — Partner with a technology platform. License a third-party routing-and-sortation software platform and lease modular equipment, spreading cost over five years instead of paying up front. Lower immediate cash outlay (about 3 million dollars in year one), faster to pilot, but Northwind would not own the core technology and would pay escalating fees as volume grows. Throughput gains are smaller — roughly 20 percent.

Option C — Hold and defend. Make no major capital commitment. Invest modestly in driver retention, raise prices selectively, and protect the existing client relationships that generate the most margin. Preserves cash and avoids layoffs but does nothing to fix the structural cost problem before the next peak.

The Stakeholders

Dana Reyes, Chief Executive Officer. Dana founded Northwind's culture of reliability and feels personally responsible for both the brand and the workforce. Dana is ambitious about growth but is haunted by the missed holiday peak and worried that a wrong bet could damage the company that took eighteen years to build. Dana has not yet stated a preference, on purpose.

Marcus Hale, Chief Financial Officer. Marcus is the voice of financial discipline. He is alarmed by the margin trend and the thinning cash position. He is skeptical of Option A's 18 million dollar price tag drawn against a 34 million dollar cash balance, calling it "betting a third of the house on a fourteen-month construction project." He leans toward Option B's lower cash exposure but worries about the long-term fee escalation. He is firmly against doing nothing.

Priya Nair, Chief Marketing Officer. Priya owns the client relationships and the growth story. She argues that Northwind's entire value proposition is reliability, and that reliability is now at risk. She believes that losing two more anchor clients at the next peak would do more financial damage than the cost of Option A. She is the strongest advocate for the bold automation investment and frames it as defending the brand, not just cutting cost.

Tom Bashir, Chief Operating Officer. Tom runs the hubs and knows the workforce by name. He agrees that hand-sorting cannot scale, but he is the one who would have to manage 220 layoffs, retrain remaining staff, and keep the network running during a fourteen-month installation. He worries that the operational disruption of Option A could itself cause a missed peak — the very outcome it is meant to prevent. He is sympathetic to a phased version of Option B.

Eleanor Voss, Board Chair. Eleanor represents the investors. She wants to see a credible plan to restore operating profit and is impatient with incrementalism. She has signaled that she would support a decisive move and would back additional debt for the right strategy — but she will hold Dana accountable for the result and has reminded the team that the board "did not invest to watch margins erode politely."

The Tensions

The case is built on genuine trade-offs, not a hidden correct answer:

- **Cash discipline versus competitive defense.** Marcus is right that Option A is a large bet against a shrinking cash cushion. Priya is right that the cushion will shrink anyway if reliability fails and clients leave. Both cannot be fully satisfied.
 - **Speed versus ownership.** Option B moves faster and protects cash but rents the company's future capability and exposes it to escalating fees. Option A is slower and riskier to install but builds an owned, durable cost advantage.
 - **The workforce.** Option A's savings come substantially from eliminating 220 jobs. Tom's operational concern and the human cost are intertwined: rushed layoffs damage morale and execution at exactly the moment the network must perform.
 - **Time.** The next peak season is the deadline that makes "hold and defend" feel safe in the short run and dangerous in the medium run.
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Hub-Level Detail

The aggregate numbers hide an uneven reality. Marcus broke out the three highest-volume hubs that would be the first candidates for automation:

Hub	Daily packages	Sorting staff	On-time rate (last peak)	Sorting cost per package
Portland Central	19,000	64	88%	\$1.42

Seattle South	16,500	58	90%	\$1.38
Tacoma	11,000	41	96%	\$1.19

The pattern is clear: the largest hubs have both the worst peak performance and the highest per-package sorting cost. Portland Central, the flagship, was the worst performer during the missed peak. Tacoma, smaller and less strained, still hits its targets by hand. This is the core of Priya's argument — the hubs that drive the most revenue are the ones closest to failure — and the core of Tom's worry, because Portland Central is also the hardest place to install new equipment without disrupting live operations.

The Competitive Context

Northwind does not operate in a vacuum. Two national carriers offer last-mile delivery in the same region at prices roughly 15 percent higher than Northwind's, but with automated networks that do not stumble at peak. Their pitch to Northwind's clients is simple: "You pay a little more, but we never miss." For most of Northwind's history, the price gap kept clients loyal. After the missed holiday peak, that loyalty is no longer guaranteed. Priya's client team reports that the two retailers who shifted volume away did not leave over price — they left over a single bad December.

A third competitor, a venture-backed startup, has entered an adjacent market with an asset-light model: it owns no trucks and licenses the same kind of routing platform that underlies Northwind's Option B. It is growing quickly but has never been tested at scale or through a peak. Whether it is a genuine threat or a cautionary tale is itself a matter of debate inside Northwind.

Culture and the Workforce

Northwind's people are not an abstraction on a spreadsheet. Many of the sorting staff have been with the company for a decade or more; several hub managers started on the sorting floor. The company's internal surveys consistently rate "we take care of our people" as the most strongly held value. Dana has repeated in town halls that Northwind has never had a layoff.

This history is exactly what makes Option A's 220 eliminated positions so heavy. It is not only a cost line; it is a break with the company's self-image. Tom has privately told Dana that he can manage a phased reduction through attrition and reassignment over two years, but that a single large layoff tied to the automation launch would, in his words, "tell every remaining employee that their loyalty is worth nothing the moment a machine is cheaper." Marcus counters that protecting jobs that the market can no longer support is not kindness but a slow harm to everyone, including the workforce, if the company declines.

The Time Pressure

The next peak season is eight months away. Option A's fourteen-month installation means it cannot be fully operational before then — at best, one hub might be partially automated, with the disruption of construction during the run-up. Option B could pilot at one hub within three months. Option C changes nothing before peak. The deadline does not point cleanly at any one option: it makes the

bold move arrive too late to help this year, makes the partnership look attractively fast, and makes doing nothing feel like accepting a second bad December.

What Each Option Actually Risks

The leadership team agrees on the facts but not on which risk is most dangerous to accept.

The risk of Option A (build). The downside is concentrated and financial: a large cash outlay against a thinning reserve, a fourteen-month execution window during which the new system must be installed without breaking the old one, and the cultural cost of the first layoff in company history. If the installation slips or the throughput gains underperform projections, Northwind will have spent a third of its cash and added debt for a benefit that arrives late. The upside is that, if it works, the company owns a durable cost advantage that competitors must match.

The risk of Option B (partner). The downside is diffuse and long-term: Northwind rents rather than owns the capability that increasingly defines its business, and the licensing fees escalate with the very volume growth the company is counting on. A partner that raises prices or is acquired by a competitor could put Northwind's core operation at someone else's mercy. The upside is speed and preserved cash — a pilot could run before the next peak, and the company keeps its options open.

The risk of Option C (hold). The downside is strategic drift: the structural cost problem is real and worsening, and a second consecutive bad peak could trigger a cascade of client departures that no later investment can easily reverse. The upside — and it is not nothing — is that the company preserves cash and avoids both layoffs and execution risk in a year when it may simply need stability.

A useful way to frame the choice is to ask not "which option has the best expected outcome" but "which risk can Northwind least afford to be wrong about." Marcus fears being wrong about cash. Priya fears being wrong about the brand. Tom fears being wrong about execution and people. Eleanor fears being wrong about acting too slowly. Each fear is legitimate, and the decision is, in the end, a choice about which fear to honor.

A Note on Process

Dana faces a second-order question beneath the first: not only **what** to decide, but **how**. Should this be a CEO's call after hearing the team, a consensus the group must reach together, or a recommendation the board ultimately owns? The team is divided enough that consensus may be impossible without watering the decision down to an Option B that satisfies no one fully. Yet a top-down call risks leaving Marcus or Tom privately unconvinced and therefore half-committed during a difficult execution. How Dana runs the rest of this meeting may matter as much as the option chosen.

The Decision

Dana opens the offsite by putting the question plainly: "We can be disciplined, we can be bold, or we can be patient. I have heard each of you argue that your option is the responsible one. They cannot all be the most responsible. By the end of today I want a recommendation we can take to the board — and I want to know what we are willing to give up to get it."

The room goes quiet. Marcus opens his laptop. Priya slides the client-retention data to the center of the table. Tom looks at the hub staffing chart he brought. Eleanor checks her watch.

Appendix: Customer Concentration

Marcus included one more exhibit that several team members found sobering — the share of revenue concentrated in Northwind's largest accounts:

Client segment	Share of revenue	Notes
Top 3 retail clients	31%	One already shifted partial volume after the missed peak
Hospital network contracts	18%	Highest reliability requirements; least price-sensitive
Mid-size e-commerce sellers	34%	Fastest-growing; choose carrier on price and reliability
Long tail (all others)	17%	Stable but low margin

The exhibit sharpens the stakes. Nearly a third of revenue sits with three clients, one of whom is already testing a competitor. The hospital contracts, while smaller in share, are the most demanding on reliability and the least likely to tolerate another bad peak — losing one would be both a financial and a reputational blow. The fast-growing e-commerce segment is precisely the volume that strains the hand-sorting hubs and the segment most willing to switch carriers over a single failure. Read together with the hub-level data, the concentration table reframes the decision: this is not only about cost per package but about protecting the specific, concentrated relationships that the company cannot afford to lose.

Appendix: A Word on Northwind's Founding

Dana Reyes started Northwind with a single promise printed on the side of the first two trucks: "On time, every time." That slogan is still on the trucks. Every option on the table is, in some sense, a referendum on whether that promise can survive contact with scale — and on whether keeping a promise to clients can be reconciled with a parallel promise, never formally made but deeply felt, to the people who kept it. The case does not resolve that tension. It asks the student to decide which promise leads.

Discussion Questions

1. What is the central decision Dana faces, and what makes it genuinely hard rather than merely difficult to execute?
2. For each option, identify which stakeholder it serves best and which it costs the most. Whose frame is most persuasive, and why?

3. Is Marcus's "betting a third of the house" objection a reason to reject Option A, or a reason to structure it differently? What would a structured version look like?
4. How should the 220 potential layoffs factor into a decision that is otherwise framed in financial and competitive terms?
5. Eleanor wants a decisive move; Tom warns that decisiveness could cause the very failure it aims to prevent. How should a leader weigh boldness against operational risk under a hard deadline?
6. What would you recommend to the board, and — in Dana's words — what are you willing to give up to get it?